PIA3123
THEORIES of DEVELOPMENT

WEEK 3 NEOLIBERALISM AND DEVELOPMENTAL STATES

BY FRANCESCA CHIU

Today's Lecture

1. Neoliberalism: History, Washington Consensus and Structural Adjustment
2. Developmental States: History, East Asia and Implications
3. Break
4. Group Presentation and Essay Topics Selection
5. Discussion
6. Conclusion



Guiding Questions

1. When the economy fails, should governments step in or step back?

2. What makes markets function effectively?

3. Can economic growth ever justify the suppression of human rights and freedoms?

Defining Neoliberalism

- Focuses on **competition**
- Market is the most effective means in allocating resources within a limited regulated competition
- Advocates for low taxes, and little regulation
- Sees citizens not as citizens but as consumers
- Wealth is a reward for merit: you are rich because you deserve to be rich because you work hard
- Market is the most important thing in a society

"Neoliberalism is a theory of political economic practices proposing that human well-being can best be advanced by maximization of entrepreneurial freedoms within an institutional framework characterised by private property rights, individual liberty, unencumbered markets, and free trade."

David Harvey 2007, 22



Neoliberalism in Practice

- Neoliberals were closely aligned with conservative governments that came to power during the 1970s-1980s in the US with Ronald Reagan, in the UK with Margaret Thatcher.
- Regarding financial and technical support for development administered through international financial institutions like the World Bank, regional development banks, and the IMF, the eligibility criteria for obtaining loans were swiftly adjusted to align with the policy preferences of neoliberalism.
- These preferences encompassed actions such as privatization, economic and trade deregulation, as well as financial liberalisation.

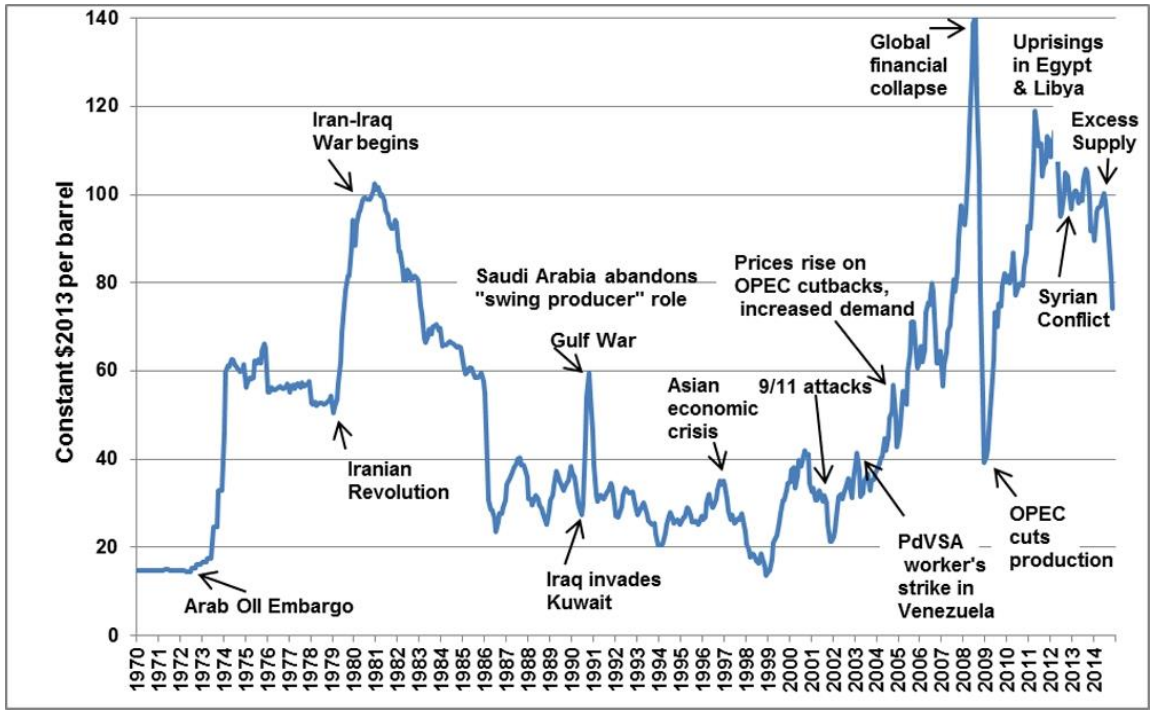


Imagine you are the leader of a newly independent country in the Caribbean

- Your country is a low-income economy
- The economy relies heavily on agriculture and raw material exports
- Welfare systems and infrastructure are underdeveloped
- The national reserves are limited
- Suddenly, your country is offered a large loan at almost zero interest, offered by richer countries
- **Would you accept the loan?**



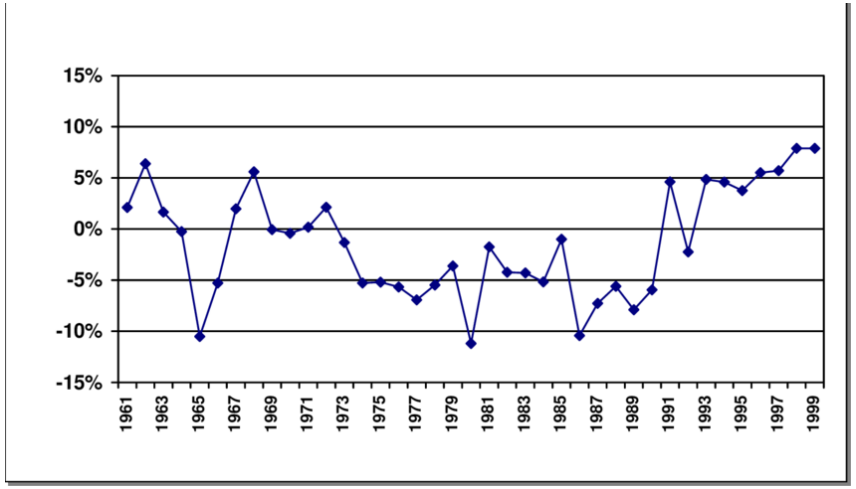
The Oil Crisis of the 1970s



Skyrocketing Oil Prices: As a result of the embargo, oil prices soared, leading to a quadrupling of oil prices within a short period.

Inflation and Economic Recession: The sharp rise in oil prices contributed to high inflation rates in many countries. Coupled with energy shortages, it led to economic recessions in several Western economies, including the United States, which experienced stagflation—a combination of stagnant economic growth and high inflation.





Real Interest Rates (1961-1999)



Impacts on Developing Countries

If cheap loans let developing countries 'buy time' in the 1970s, why did that short-term relief turn into a long-term debt trap?

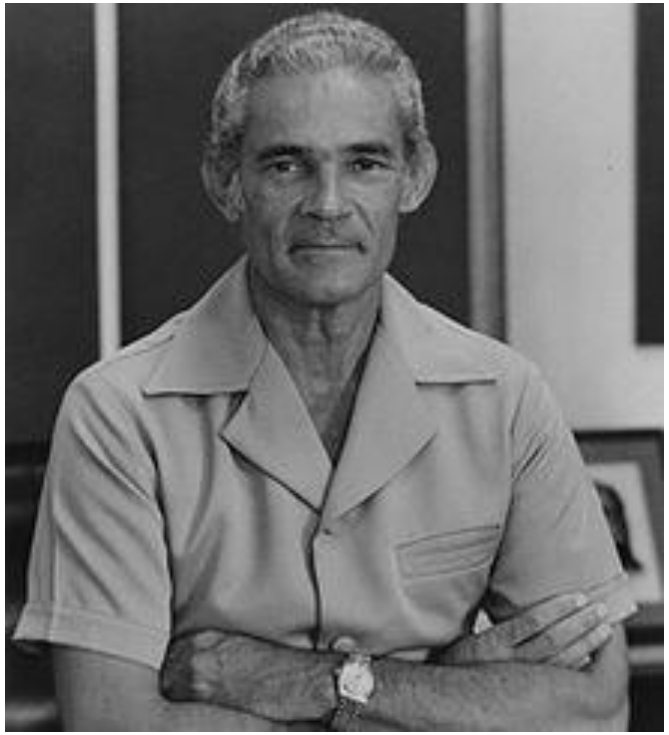
- Available of 'petrodollars' and negative real interest rate make many countries borrow.
- A new 'dual dependency' emerged where many developing countries entered an extremely high level of indebtedness.
- Yet, the Volcker Shock hurt the economy of many developing countries

The Jamaica Case

1970s: Developing countries encouraged to borrow for modernization.

Jamaica built a diverse industry, but the **1973 oil crisis and global recession** forced heavy borrowing.

By 1977, PM Michael Manley turned to the **IMF,** marking the start of structural adjustment in the Global South.



Michael Manley, leader of the People's National Party and Prime Minister of Jamaica 1972–1980, 1989–1992

Task: watch the video of Michael Manley and Stanley Fischer of the IMF

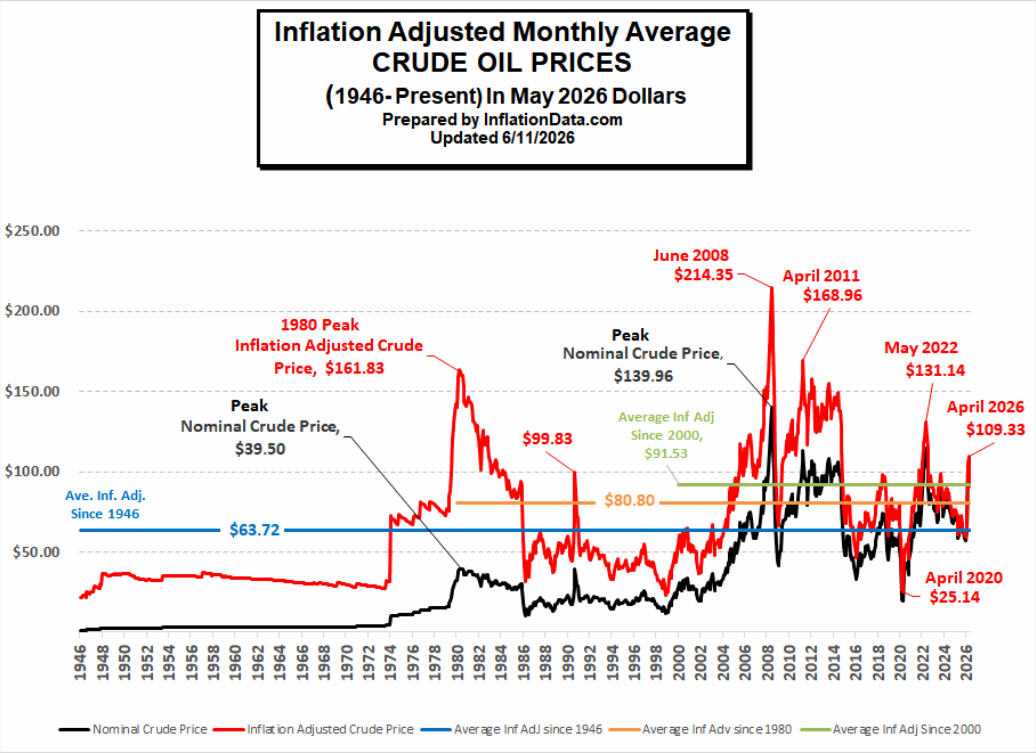
Questions:

1. Why did Jamaica approach the IMF for a loan?

2. What were the conditions attached to the IMF loan?



The current oil crisis



Disruptions in the **Strait of Hormuz** since February 2026 have pushed up oil and refined-fuel prices.

The Strait normally handles roughly **20% of global oil shipments**.

Read this UN Trade and Development article and ask yourself:

Why are developing countries vulnerable?

Also read: The Oil Market Absorbed the War Shock, but Buffers Are Running Low (Jul 15, 2026)



Neoliberalism does not mean the market can automatically fix everything

Neoliberals believed markets don't just run themselves.

Left alone, markets may collapse (like in the Great Depression).

The real question: What political, legal, and social frameworks are needed for markets to function properly?



Structural Adjustment

- Conditions attached to loans
- Restore financial stability
- Make markets “function properly”
- Making economies more stable and viable...or turning them into debt-repayment machines?

The Washington Consensus

1. Fiscal discipline
2. Public expenditure priorities re-ordered
3. Tax reform
4. Maintenance of positive real interest rates
5. Maintenance of competitive exchange rates
6. Trade liberalisation
7. Elimination of barriers to Foreign Direct Investment
8. Privatisation of state-owned enterprises
9. Deregulation of the economy
10. Enforcement of property rights

The Washington Consensus represents “the common core of wisdom embraced by all **serious** economists”.

John Williamson



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Let’s look at the downside of structural adjustment program.

SAPs were justified in the name of growth, but often delivered austerity, debt dependence, and social harm instead.

PREVIOUS ARTICLE NEXT ARTICLE

The World System and the Hollowing Out of State Capacity: How Structural Adjustment Programs Affect Bureaucratic Quality in Developing Countries

Bernhard Reinsberg, Alexander Kentikelenis, Thomas Stubbs, and Lawrence King

Abstract | Full Text | PDF | Supplemental Material

Abstract

The administrative ability of the state to deliver effective policy is essential for economic development. While sociologists have long devoted attention to domestic forces underpinning state capacity, the authors focus on world system pressures from Western-dominated international organizations. Scrutinizing policy reforms mandated by the International Monetary Fund (IMF), the authors argue that “structural conditions” exert deleterious effects on bureaucratic quality by increasing the risk of bureaucrats falling prey to special interests and narrowing potential policy instruments available to them. The authors test these arguments using a new data set on IMF conditionality from 1985 to 2014. Their analysis shows that structural conditions—especially conditions on privatization, price deregulation, and public sector employment—reduce bureaucratic quality. Using instrumentation techniques, the authors also discount the possibility that the relationship is driven by the IMF imposing structural conditions precisely in countries with low bureaucratic quality. A careful reconsideration of IMF policy reforms is therefore required to avoid undermining local institutions.

Details | Figures | References | Cited by



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Volume 124, Number 4
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Article DOI
https://doi.org/10.1086/701703

ECONOMY

Plundering Africa – Income deflation and unequal ecological exchange under structural adjustment programmes

In the 1980s and 1990s, IMF and World Bank-imposed structural adjustment programs devastated Africa by forcing austerity, privatization, and export-oriented policies.



What have the oil crisis and the debt crisis shown us?

Roles and Power: Western banks, U.S. Treasury, IMF, and World Bank became gatekeepers of rescue packages.

Conditionality: loans came with strings-- structural adjustment programs (austerity, privatization, deregulation, trade liberalization).

Paradigm shift: neoliberal economists (Friedman, Hayek) already arguing for “less state, more market.” Debt crisis gave their ideas political force.

Outcome: since 1980s, neoliberalism has become *the* global policy consensus.





Sri Lanka: A Modern Echo (2019–2024)

Tourism collapse (COVID-19) and poor fiscal management drained reserves.

Debt default (2022): Sri Lanka unable to repay foreign creditors.

Turned to the IMF for bailout (US$3bn) with conditions:

a. Tax hikes & subsidy cuts (eg fuel).

b. Restructuring of state-owned enterprises.

c. Softer tone on poverty reduction

Video: [How Sri Lanka's Economic Collapse Raises Alarm Bells For Other Emerging Markets]

Question: What does Sri Lanka's crisis tell us about neoliberalism as a development doctrine? Is it still the dominant model, has it changed, or is it being contested?

Paradigms	Who needs development?	How should it happen?	What is the importance?
Modernisation			
Dependency			
Neo-liberalism			
Developmental State			
Human development			
Sustainable development			
Post-development			

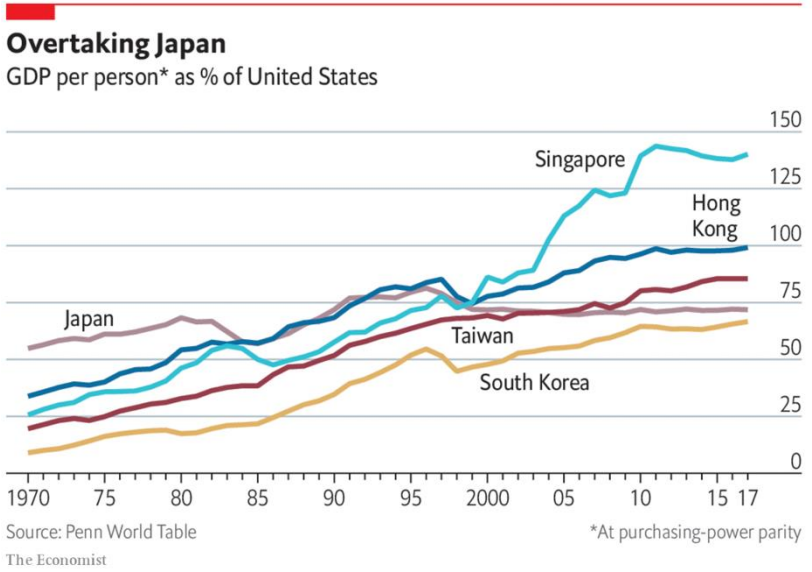
Any question?



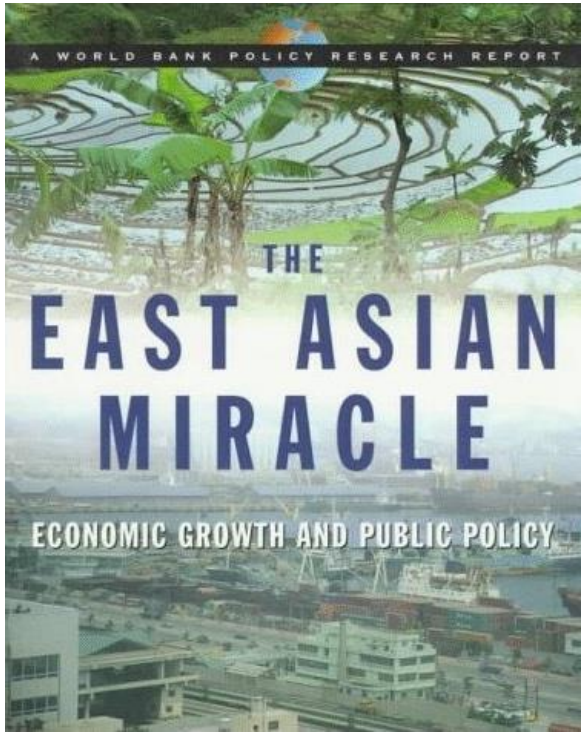
If neoliberal reforms and the Washington Consensus promised growth and stability but often delivered crisis, what ***alternative*** models of development did scholars and policymakers turn to, and with what success?

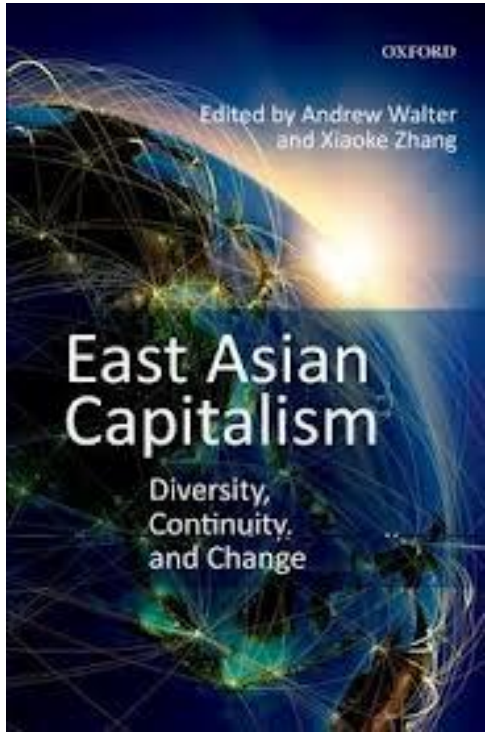
Developmental States

- A type of economy that was successfully able to push development forward, characterized by professionalized bureaucracies that were autonomous from social and political pressures. Usually associated with the 'Asian tiger' economies (Singapore, Hong Kong, Taiwan, South Korea).
- A subtype of neostatism, which refers to a renewed emphasis on the role of the state in economic development, particularly in the context of developing countries.



Developmental States and Neostatism

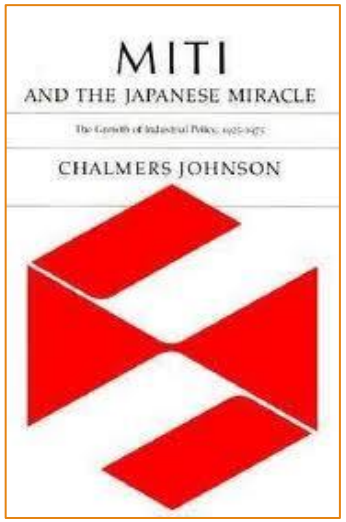




- Challenged the globally dominant view
- Challenged 'one size fits all' ideologies
- The question of state involvement is not about the extent but rather the nature of that involvement
- Not just picking winners, but coordinating and disciplining firms, banks, and bureaucrats around industrial upgrading.

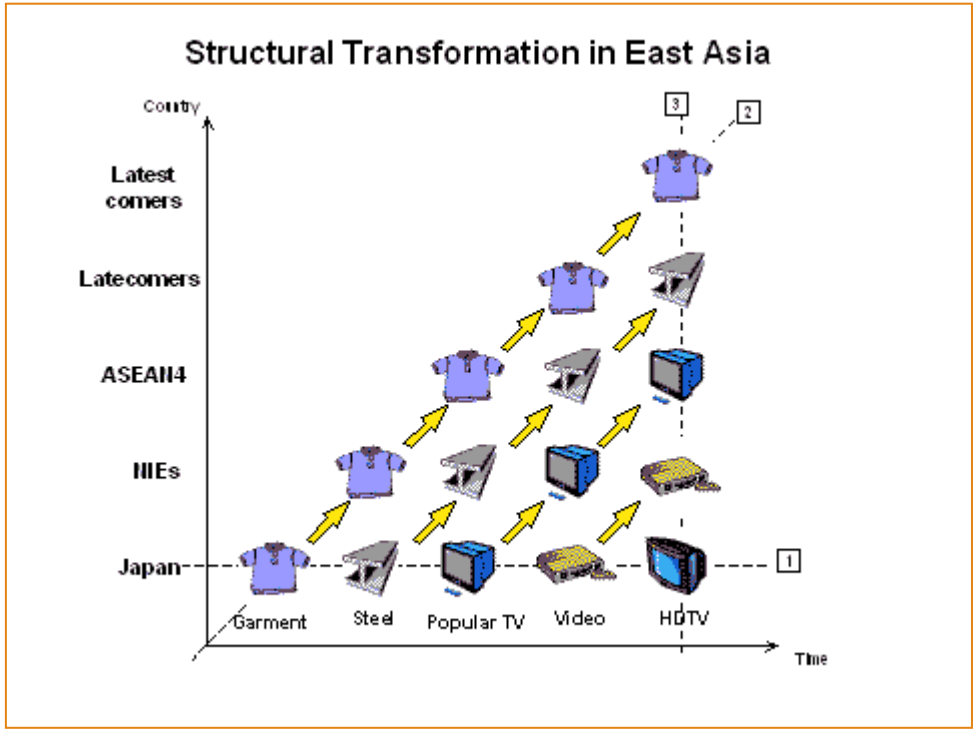
Japan and The Developmental State







From Individual Country to a Region: The Flying Geese Model



NIEs = Newly Industrializing Economies
(Hong Kong, Singapore, South Korea, Taiwan)

ASEAN4 = Indonesia, Malaysia, Philippines, Thailand

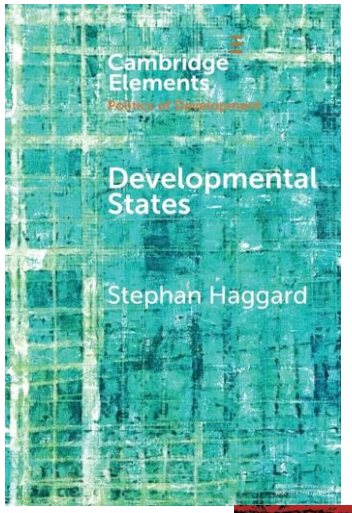
Because there is such great variety between the Asian nations… economic integration on the European Union model is clearly out of the question. Yet it is precisely this diversity that works to facilitate the flying geese pattern of shared development as each is able to take advantage of its distinctiveness to develop with a supportive division of labour.

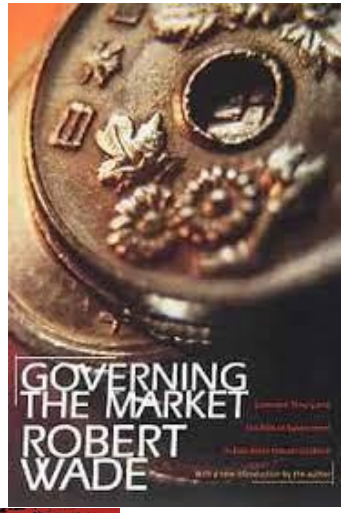


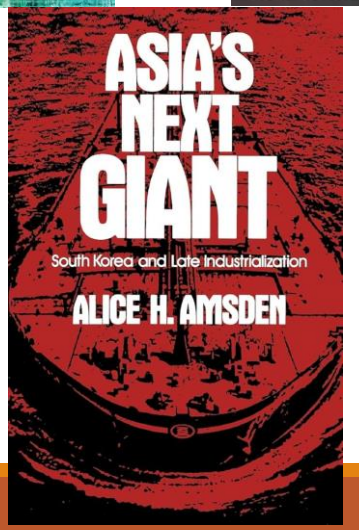
Saburo Okita (1914-1993)
Japanese economist and
Minister of Foreign Affairs

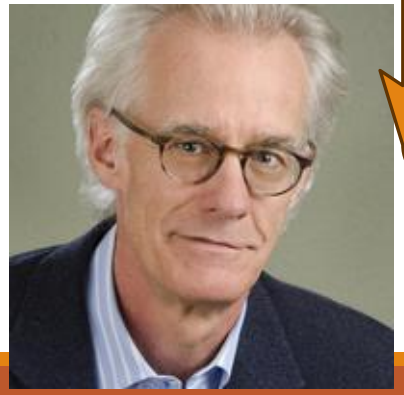
The Developmental State

1. The state prioritises economic development
2. An elite bureaucracy coordinates strategy
3. This elite is led by a pilot agency
4. Bureaucrats are given space to rule
5. State intervention is market conforming









Growth is hampered by a range of market failures and coordination problems that are only overcome through state action…

Stephan Haggard

The Politics of the East Asian 'Miracle'



Park Chung Hee, President of South Korea 1967-1979



Lee Kuan Yew, Prime Minister of Singapore 1959-1990



Robert Wade

- Power centralisation
- Cooperation from local elites
- Politically authoritarian
- Suppression of labour

How was discipline maintained over the interventions, in line with a national development project, as distinct from feeding the support mechanisms (such as patronage networks) to keep a particular group in power regardless of cost to the national development project?

This blog summarises the key insights of their lively discussion before a room packed with students on March 15, 2017.

While recognizing it is difficult to predict the future, Prof. Wade contended that the developmental state as occurred in Taiwan and South Korea after World War II is no longer feasible. The overwhelming dominance of Western and Japanese high technology firms makes creation of domestic capacity in developing states more challenging. Likewise, the rise of neoliberal trade and investment policies and institutions, such as the World Trade Organization, limits developing countries' ability to protect their own infant industries. Nevertheless, he argued that the 'developmental state 2.0' does have a future. This new developmental state can promote development by taking advantage of room for manoeuvre within investment and trade rules to promote domestic industries, building on their existing role in the global supply chain as means to move into higher value add products, and fighting corruption. The state, whether it aspires to be development or not, has three main options with regards to fostering development. The state can lead on selecting investments in the private sector with public funds, it can choose to ratify certain market investments through additional state support, or it can abdicate its role as a developmental state and simply leave all investments to the private capital markets.

Prof. Thandika Mkandawire took a different tact. According to Mkandawire, while very real economical and governmental constraints exist, the developmental state will be a permanent fixture in Africa. This approach marked a clear rejection of the oft cited argument that cultural and institutional factors preclude effective developmental states in Africa. He stressed that African states need to learn from Asian developmental states' successes and mistakes. This will allow African states to develop faster and more successfully. Accessible technology and reducing corruption will be vital for this transformation. A key part of this process will be working to ensure more African assets stay in Africa and are not siphoned off to rich western nations because it will both help reduce corruption and promote economic development. He drew an important distinction regarding the practical motivation of policymakers seeking to build a developmental state; namely some are seeking to get ahead, while others are fearful of falling behind. Furthermore, he contended that despite interest from both policymakers and scholars in understanding and promoting developmental states, it is often only possible to tell whether a state is developmental in retrospect.

Is Developmental State still relevant today?

What is Wade saying?

What is Mkandawire saying?

A further question

How does global economic governance (e.g., WTO rules, IMF/World Bank conditionalities, trade agreements) limit the policy space for developmental strategies?



The State vs. Market Framing is Misleading

- States are not simply “neutral coordinators” of development; they are also instruments through which powerful classes (domestic elites, business groups, foreign capital) advance their interests
- Likewise, markets do not operate in isolation. They are structured by private property rights, competitions, and global value chains, all of which reflect power and class relations.
- Treating the developmental state as simply “state vs. market” risks ignoring how social struggles, class alliances, and repression made suppressive policies possible.



Guiding Questions

1. When the economy fails, should governments step in or step back?

2. What makes markets function effectively?

3. Can economic growth ever justify the suppression of human rights and freedoms?

Quick question

Do you think economic success justifies restrictions on human rights and freedom?

You'll have 5 minutes to think and organize.

If you're comfortable, I encourage you to share your answer verbally with the class.

If you prefer, you can type your response. Remember to provide your name and student number. I'll also read out some responses.

https://app.sli.do/event/kFTHCTEtmj3g5y5jaBusC2



Paradigms	Who needs development?	How should it happen?	What is the importance?
Modernisation			
Dependency			
Neo-liberalism			
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Human development			
Sustainable development			
Post-development			

Any question?

Conclusion

- In an abstract and general sense, the core debate of both neoliberalism and developmental state theory revolves around the relationship between the state and the market, and the way we think about the role of institutions and long-term growth.
- However, neoliberalism and developmental state theory represent fundamentally different paradigms of economic and political thought. Neoliberalism emphasizes market forces, minimal state intervention, and individualism, while developmental state theory emphasizes state-led development, strategic interventions, and collective interests.

Quiz 1 Tip

This week, think about: Wade (2018) argues that the developmental state is not dead, but has adapted to globalization. What distinguishes a developmental state from a neoliberal state, and how convincing is Wade's argument that governments can still actively steer economic development?

Update on the quiz:

3 questions, 2 hours, computer-based test. Students will access the test through Canvas and type their answers directly into the Canvas quiz.

Closed-book.

Venue: LI 5407

Week 4: Human Development and Sustainable Development

Essential Readings

Bulkeley, H. and Newell, P. (2023) 'Chapter 2' in *Governance for Whom? Equity, Justice, and the Politics of Sustainable Development*, *Governing Climate Change*. New York: Routledge.

Sen, A. (2000) 'Chapter 1' in *Development as Freedom*. Oxford: Oxford Paperbacks.

Supplementary Readings

Nussbaum, M. C. (2003) 'Capabilities as Fundamental Entitlements: Sen and Social Justice', *Feminist Economics*, 9(2–3), pp. 33–59.

United Nations (2025) *Human Development Report*. https://hdr.undp.org/content/human-development-report-2025

United Nations (2026) *The Sustainable Development Goals Report*. https://unstats.un.org/sdgs/report/2026